

5. SULLIVAN & ASSOCIATES, INC. v. CITY OF SOUTH LAKE TAHOE, ET AL., 25CV3051**Motion to Compel Arbitration**

On January 14, 2026, pursuant to Code of Civil Procedure section 1281.2, defendant DIV 15 Tech, Inc. (“moving defendant”) filed the instant motion to compel arbitration and stay the action.

On March 16, 2026, plaintiff Kevin M. Sullivan & Associates, Inc. (“plaintiff”) filed a timely opposition. On March 20, 2026, moving defendant filed a timely reply.

A hearing was held on March 27, 2026, at which time, counsel for moving defendant clarified that moving defendant is asking the court to order arbitration only between plaintiff and moving defendant, and to stay litigation as to all other parties. The court continued the hearing to May 1, 2026, and ordered any supplemental opposition briefs to be filed by April 13, 2026; and any supplemental reply brief to be filed by April 24, 2026.

On April 13, 2026, plaintiff filed a timely supplemental opposition brief. Also on April 13, 2026, defendants Roebbelen Contracting, Inc. and Western Surety Company filed a non-opposition to the motion. On April 24, 2026, moving defendant filed a timely supplemental reply.

1. Background

This case arises out of a public works contract commonly known as City of South Lake Tahoe Recreation & Aquatic Center. Defendant City of South Lake Tahoe awarded the contract to defendant Roebbelen. (Compl., ¶ 6.) Roebbelen allegedly entered into a subcontract with moving defendant for performance of certain portions of the project. (Compl., ¶ 7.) Moving defendant entered into a subcontract with plaintiff for certain portions of the project, including hydronic piping and equipment with insulation for the project. (Compl., ¶ 11.)

The subcontract between moving defendant and plaintiff includes an arbitration provision. (Mtn., Harrison Decl., Ex. A.)

The complaint alleges moving defendant breached its subcontract with plaintiff by failing to pay plaintiff monies owed under their subcontract. (Compl., ¶ 15.)

The first and second causes of action for breach of contract and quantum meruit, respectively, are against moving defendant only. The third and fourth causes of action for enforcement of stop payment notice and for recovery on prime contractor's payment bond, respectively, are against moving defendant, as well as defendants Roebbelen (third and fourth causes of action), City of South Lake Tahoe (third cause of action only) and Western Surety (fourth cause of action only). Although the third and fourth causes of action include other defendants, which are not signatories to the arbitration agreement at issue, both causes of action are for claims of payment against the bonding companies of moving defendant, the general contractor, and the bidding party for any amounts arising from plaintiff's dispute with moving defendant for unpaid work.

2. Legal Principles

Code of Civil Procedure section 1281.2 provides in relevant part: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] ... [¶] (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." (Code Civ. Proc., § 1281.2, subd. (c).)

"If the court determines that a party to the arbitration is also a party to litigation in a pending court action or special proceeding with a third party as set forth under subdivision (c), the court (1) may refuse to enforce the arbitration agreement and may

order intervention or joinder of all parties in a single action or special proceeding; (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.” (Code Civ. Proc., § 1281.2.)

3. Discussion

Plaintiff does not dispute the validity of its arbitration agreement with moving defendant. Plaintiff opposes the motion on the grounds that arbitration between only plaintiff and moving defendant – without the other defendants in this action – would create a possibility of conflicting rulings on a common issue of law or fact. Plaintiff points to several of moving defendant’s affirmative defenses, which raise issues of apportionment, and accord and satisfaction.

However, the court is persuaded by moving defendant’s argument that plaintiff’s claims against the other defendants are derivative of the first and second causes of action, both of which are against moving defendant only. (See *Federal Ins. Co. v. Superior Court* (1998) 60 Cal.App.4th 1370, 1373 [“In the usual case, a claim against a surety derives from the primary action.”]; see also *Powers Regulator Co. v. Seaboard Surety Co. of New York* (1962) 204 Cal.App.2d 338, 354 [the determination of a subcontractor’s claim against a prime contractor is a condition precedent to any recovery on the insurance bond].) Therefore, there is no possibility of conflicting rulings. The motion to compel is granted. The court orders plaintiff and moving defendant to arbitration of the first and second causes of action. Pending arbitration, the court will stay the litigation as to all other defendants and as to the third and fourth causes of action.

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TENTATIVE RULING # 5: THE MOTION TO COMPEL IS GRANTED. THE COURT ORDERS PLAINTIFF SULLIVAN & ASSOCIATES, INC. AND DEFENDANT DIV 15 TECH, INC. TO ARBITRATE THE FIRST AND SECOND CAUSES OF ACTION IN PLAINTIFF'S COMPLAINT. PENDING ARBITRATION, THE COURT STAYS THE LITIGATION AS TO ALL OTHER DEFENDANTS AND AS TO THE THIRD AND FOURTH CAUSES OF ACTION IN PLAINTIFF'S COMPLAINT.

NO HEARING ON THIS MATTER WILL BE HELD (*LEWIS v. SUPERIOR COURT* (1999) 19 CAL.4TH 1232, 1247), UNLESS A NOTICE OF INTENT TO APPEAR AND REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT'S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 573-3042 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. NOTICE TO ALL PARTIES OF AN INTENT TO APPEAR MUST BE MADE BY TELEPHONE OR IN PERSON. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.